Intellectual Property & Privacy (IPP)

JM0160

Lecturer: Sunimal Mendis, TILT, Tilburg University

Lecture 7: Data Mining

Knowledge Clip 7:

Introduction to IP law and Data Mining

Objective & Structure

Objective: Provide a general understanding of how EU IP law could form a legal barrier to data mining and to examine the extent to which current exceptions to IP rights enable data mining.

Structure:

1. Can IP rights form a legal barrier to data mining?
   a. Database rights (copyright/sui generis database right) in the database?
   b. Copyright in data (works) incorporated in the database?

2. What are the exceptions for data mining provided under the EU IP law and to what extent do they permit data mining?



Definition of data mining

Art. 2(2) EU Copyright in the Digital Single Market (DSM) **Directive (2019)**:

Any automated analytical technique aimed at analyzing text and data in digital form in order to generate information which includes but is not limited to patterns, trends and correlations.

For purpose of this course,
"data mining" = "text and data mining"



Legal barriers to data mining

- Copyright (or other IP rights) in the data.
- Copyright/sui generis database right in the database.
- Trade secrecy in the data and/or database.
- Contract law: Contractual terms and conditions that prevent data-mining either of database and/or of individual data.



1.a.

Can Database rights (copyright/sui generis database right) in a database form a legal barrier to data mining?



Recap: Scope of protection

Copyright

Art. 5

a) Temporary/ permanent reproduction of database in whole or in part, by any means and in any form (directly/indirectly).

a) Distribution of database (or copies) to the public (sale).

b) Adaptation or modification of database.

c) Communication, display or performance of the database to the public.

Sui generis database right

Art. 7

Extraction and/or re-utilization of whole or substantial part of contents of database evaluated qualitatively and/ or quantitatively.

- Extraction: Temporary/ permanent reproduction of database in whole or in part, by any means and in any form (directly/indirectly).
- Re-utilization: Distribution; adaptation or modification; communication, display or performance to the public.

Includes, repeated and systematic extraction and/or re-utilization of **insubstantial parts** of the contents of database where this is contrary to the normal exploitation of that database or **unreasonably prejudices the legitimate interests of the producer of the database.**

Database rights as a legal barrier to data-mining

Copying and loading data into a dataset (e.g. converting them into machine readable format and uploading data to own server or platform.)

Analysis of dataset by running the algorithm to identify and evaluate correlations between the data.

Recombination (rearrangement) of the data to obtain and visualize results.

Storage and communication of results to peers/public (e.g. publication of dataset).

Copyright: Temporary/ permanent reproduction (direct/indirect) of database in whole or in part.

Sui generis right: Extraction of whole or substantial part of contents of database.

Copyright: Adaptation/Communication of database to the public.

Sui generis right: Re-utilization of whole or substantial part of contents of database.



Exceptions

What acts can be carried out without the rightholder's permission?



Exceptions to Copyright protection of databases under DD

- **Art. 6(1): Mandatory exception** for acts necessary for **access to and normal use** of the contents of a database by **lawful user**.

  ➢ *Cannot be overridden by contract!*

- **Art. 6(2)(a): Voluntary exception** for use for the sole purpose of illustration for **teaching or scientific research**, as long as the source is indicated and to the extent justified by the **non-commercial** purpose to be achieved



Exceptions to sui generis database right under DD

- **Art. 8(1): Lawful user's right** to **extract and/or re-utilize insubstantial parts** of the contents of the database.
  - *Mandatory. Cannot be overridden by contract!*

- **Article 9(b): Voluntary exception** for **lawful users** of a publicly accessible database to extract a substantial portion of the contents for purposes of **teaching or scientific research** as long as the source is indicated and to the extent justified for by the **non-commercial** purpose to be achieved.



1.b.

Can copyright in works incorporated in a database form a legal barrier to data mining?

gettyimages

Spotify

AP

1.7 million
archive videos

35 million
editorial and creative images

2 million

Copyright as a legal barrier to data-mining



> 3. By training Stable Diffusion on the Training Images, Stability caused those images to be stored at and incorporated into Stable Diffusion as compressed copies. Stability made them without the consent of the artists and without compensating any of those artists.

Q. Does data-mining result in the infringement of Article 2 of the EU information Society Directive?

- Direct or indirect, temporary or permanent reproduction by any means and in any form, in whole or in part.

EU has recognized importance of minimizing legal barriers to data mining.

- Importance of data mining and analytics in digital environment for data-driven innovation.

- Distortion of competition and growth of markets for data mining and analytics through exclusive rights claimed in data and/or databases.

  - Larger more established market players generate most data and use IP rights and contract to prevent smaller players from engaging in data mining.

European Strategy for Data Mining (2020): Necessary to limit any unnecessary barriers to text-and-data mining.



Recognition of the need for broader exceptions to enable and data mining

Exceptions for text-and-data mining (TDM) provided under Arts. 3 & 4 of the EU Copyright in the Digital Single Market (DSM) Directive (2019).



Arts. 3 & 4 of the DSM Directive (2019)

Exceptions for text-and-data mining (TDM)

- Copyright in data (works) incorporated in database.
  - Exception for direct or indirect, temporary or permanent reproduction by any means and in any form, in whole or in part [Article 2 of InfoSoc Directive].

- Database rights:
  - Exception for copyright – temporary or permanent reproduction of the database by any means and in any form [Article 5(a) of DD].
  - Exception for sui generis right – extraction and/or re-utilization of whole/substantial part of the database evaluated qualitatively/quantitatively [Article 7(1) of DD].



Self-Assessment Quiz



Take the quiz

Go to: Canvas → Modules → Introductory Lecture → *Quiz 7*